₹2K cr push for lithium, nickel processing plants

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The Union Cabinet on Wednesday approved a ₹2,814-crore support scheme to establish domestic critical mineral processing plants for lithium and nickel, a move welcomed by industry players who said it would address a key gap in India's critical mineral value chain and help reduce dependence on imports.

Under the scheme, which will run from FY27 to FY31, the government will provide a capital subsidy of 30 per cent for setting up two lithium processing plants and two nickel processing plants. The plants will have minimum processing capacities of 30,000 tonnes each for lithium and 50,000 tonnes each for nickel.

The maximum capital support has been capped at ₹500 crore per beneficiary for lithium plants and ₹900 crore for nickel plants. The scheme aims to develop domestic processing capabilities for converting lithium and nickel ores and intermediate products into high-purity compounds. Cobalt is also expected to be recovered as a by-product of nickel processing.

Beneficiaries will be selected in a two-stage process, beginning with technical qualification, followed by financial bidding. For each mineral, two beneficiaries will be selected based on the least-cost criterion, with preference given to bidders seeking the lowest capital expenditure support from the government. The incentives will be disbursed in three tranches linked to the achievement of specified milestones.

Domestic beneficiation and processing infrastructure remains at a nascent stage, with commercial-scale projects facing challenges such as high capital requirements, limited availability of suitable technologies and constrained access to raw materials.

Attero co-founder and CEO Nitin Gupta said the scheme addressed a key gap in India's critical mineral value chain — domestic processing capacity. While the country was taking steps to secure access to critical mineral resources, developing the ability to process them into high-purity materials was equally important to reduce import dependence and strengthen supply chain security, he said.

LOHUM founder and CEO Rajat Verma said the scheme could help India move from importing towards developing domestic supplies by supporting facilities that convert lithium and nickel into high-purity compounds.